

Defendants do claim procedural defects in the proposed TAC and various failures to comply with Cal. Rules of Court, rule 3.1324. These provisions require that the moving party provide a copy of the proposed pleading, identify the new allegations proposed, and provide a declaration describing when the new facts were discovered and why the request for amendment was not made earlier. Defendant contends that the proposed TAC doesn't include the exhibits supposedly attached to the TAC or a sufficient declaration.

The copy of the TAC attached to the motion on file with the court does include exhibits, and the Kellam declaration attached to the motion does describe how some of the new facts alleged were uncovered during discovery. (Kellam declaration, ¶¶3-6.) This is sufficient in light of the general public policy in favor of allowing amendments, especially as the court had already granted leave to amend when the demurrer was sustained on May 20; enforcement of other procedural requirements for a motion for leave to amend would be unnecessary here when the ruling on the demurrer allowed the plaintiff to amend the complaint without any further showing.

The motion is granted.

5.

CASE #	CASE NAME	HEARING NAME
CVRI2502741	BACA VS ORANGECREST PONY BASEBALL, INC.	MOTION FOR SANCTIONS

Tentative Ruling:

Summary of Ruling: The Court denies the motion.

Factual / Procedural Context

On June 10, 2025, Plaintiff Krystal Baca, *in pro per* ("Plaintiff") filed a Complaint against Defendants Orangecrest Pony Baseball, Inc. ("Orangecrest"), Aria Zolfaghari, Jeremy Langley, Sarah Langley, Delia Lopez, Delores Todorovski, Michael Penn, John Blanco, and Thomas Boyer (together "Defendants") asserting causes of action for temporary injunction, permanent injunction, declaratory relief, accounting, negligence, fraud, misrepresentation, emotional distress, and intentional infliction of emotional distress ("IIED"). Plaintiff alleges that Orangecrest is a California public benefit corporation that was suspended by the Franchise Tax Board ("FTB") and declared delinquent with the Attorney General's Charitable Trust Registry, but continued to operate, collect registration fees, and solicit public sponsorships. The individual Defendants acted as de facto directors without valid elections, in violation of the nonprofit's own bylaws. The Department of Justice denied Orangecrest's 2025 raffle registration due to chronic noncompliance, but Defendants continued to conduct raffles and failed to report the proceeds to the IRS; failed to report snack bar revenue, raffle income, board member compensation, umpire payments, or field permit costs; employed umpires, including minors, without providing workers compensation coverage;

and misrepresented their coverage status to the City of Riverside. After demanding transparency, Plaintiff was removed as a coach and her minor son was excluded from All- Star participation.

On August 5, 2025, Plaintiff filed a First Amended Complaint (“FAC”) against Defendants asserting 16 causes of action: (1) breach of fiduciary duty; (2) fraud; (3) negligence; (4) retaliation; (5) unfair business practices (UCL); (6) Civil Rights violation – Bane Act (Civ. Code § 52. 1); (7) violation of Nonprofit Integrity Act (Govt. Code §§ 12586, 12599.6); (8) violation of Charitable Trust and Raffle (Penal Code § 320. 5; Govt. Code § 12586); (9) corporate suspension misconduct (Rev. & Tax Code § 23301); (10) failure to produce records (Corp. Code § 6333); (11) conflict of interest and self-dealing (Corp. Code §§ 5233, 7212); (12) violation of Civil Rights under color of law (42 USC § 1983; Civ. Code § 52.1); (13) temporary injunctive relief; (14) permanent injunctive relief; (15) declaratory relief; and (16) accounting.

On March 13, 2026, Orangecrest served discovery on Plaintiff, including form interrogatories (“FROGs”), special interrogatories (“SPROGs”), requests for admissions (“RFAs”), and requests for production of documents (“RFPs”). On March 18, 2026, it served a notice of deposition on Plaintiff for a deposition on April 8, 2026. Plaintiff objected to the deposition date on March 19, 2026.

On April 7, 2026, Plaintiff filed an *ex parte* application for a protective order continuing her deposition to a date after she serves responses to Orangecrest’s written discovery and staying the accompanying document production. Orangecrest opposed the *ex parte*, and on April 8, 2026, the Court denied the *ex parte*.

On April 23, 2026, the Court sustained Defendants’ demurrer to the 1st, 4th, 6th-9th, 11th, 12th, and 16th causes of action with leave to amend, and sustained the demurrer to the 2nd, 3rd, 5th, 10th, and 13th-15th cause of action without leave to amend. On May 29, 2026, Plaintiff filed a Second Amended Complaint (“SAC”) asserting causes of action for declaratory relief and violation of member inspection rights under Corp. Code § 6333.

Orangecrest now moves for monetary sanctions pursuant to C.C.P. §§ 128.5, 128.7, 2025.420(h), 2030.090(d), 2031.060(h), and 2033.080(d) based on Plaintiff’s filing of the *ex parte* application for a protective order that was denied by the court for lack of good cause and lack of irreparable harm.

In opposition, Plaintiff argues that the court merely denied her *ex parte*, but made no finding that it was made without substantial justification. She further argues that she had substantial justification; there is no basis for sanctions under C.C.P. §§ 128.5 and/or 128.7; and the fees sought are excessive.

In reply, Orangecrest argues that the Notice of Ruling and comments from the court establish the lack of substantial justification for the *ex parte*; there was no substantial justification; the code sections cited support sanctions; and the fees sought are reasonable and proper.

Analysis

I. Discovery Sanctions

Orangecrest first argues that it is entitled to \$7,540 in monetary sanctions pursuant to C.C.P. §§ 2025.420(b), 2030.090(d), 2031.060(h), and 2033.080 because Plaintiff had no substantial justification for bringing her *ex parte* application for a protective order related to the sequencing of written discovery and her deposition.

The above-referenced sections do provide that “[t]he court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion for a protective order, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” However, Defendant did not establish that Plaintiff lacked substantial justification for the *ex parte*. It is correct that the Court denied the *ex parte*, but nowhere in the court order does it state that Plaintiff lacked substantial justification in bringing the motion. Even the Notice of Ruling, prepared by Defendant, does not state that the Court found a lack of substantial justification for the *ex parte*. (See, Decl. of David Davidson, Ex. 6.) Just because a motion or *ex parte* is denied does not automatically mean there was no substantial justification for the motion/application. Additionally, if Defendant believed it was entitled to sanctions related to the *ex parte* application for a protective order, it could and should have requested those sanctions in its opposition to the *ex parte*, but it did not.

Based on the evidence provided and the *ex parte* application and hearing thereon the Defendant is not entitled to sanctions. Accordingly, the motion is denied.

Sanctions Based on C.C.P. §§ 128.5 and 128.7

The sanctions process is usually commenced by party motion, although a court may issue an order to show cause *sua sponte*. (C.C.P. §128.7(c)(2).) The moving party must first serve the motion for sanctions on the offending party at least 21 days before filing it; this safe harbor provision allows the opposing party to withdraw or appropriately amend the “challenged paper, claim, defense, contention or denial.” (*Barnes v. Department of Correction* (1999) 74 Cal.App.4th 126, 130.) At the end of the 21-day waiting period, if the pleading is not withdrawn, the moving party may file the motion. (C.C.P. §128.7(c)(1); *Martorana v. Marlin & Saltzman* (2009) 175 Cal.App.4th 685, 698-99.) Here, there is no evidence that Orangecrest complied with the safe-harbor provision, so the motion should be denied on that basis.

Additionally, the motion based on C.C.P. §§ 128.5 and 128.7 should be denied on its merits. Pursuant to C.C.P. § 128.7, an attorney or unrepresented party who presents a pleading, motion or similar paper to the court makes an implied certification as to its legal and factual merit, and a violation of this implied certification subjects the attorney and/or party to sanctions. (C.C.P. § 128.7; *Murphy v. Yale Materials Handling Corp.* (1997) 54 Cal.App.4th 619,623.) Under C.C.P. § 128.7, “there are basically three types of submitted papers that warrant sanctions: factually frivolous (not well grounded

in fact); legally frivolous (not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law); and papers interposed for an improper purpose.” (*Guillemín v. Stein* (2002) 104 Cal.App.4th 156, 167.) Whether the paper or pleading is frivolous or improper is tested objectively. (*Bockrath v. Aldrich Chem. Co., Inc.* (1999) 21 Cal.App.4th 71, 82.) “A claim is objectively unreasonable if any reasonable attorney would agree that it is totally and completely without merit.” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440 [internal quotation marks and citation omitted].) It is not necessary to demonstrate that the party acted in bad faith. (*Id.* at 449.) “A sanction imposed for violation of subdivision (b) shall be limited to what is sufficient to deter repetition of this conduct or comparable conduct by others similarly situated. Subject to the limitations in paragraphs (1) and (2), the sanction may consist of, or include, directives of a nonmonetary nature, an order to pay a penalty into court, or, if imposed on motion and warranted for effective deterrence, an order directing payment to the movant of some or all of the reasonable attorney's fees and other expenses incurred as a direct result of the violation.” (C.C.P. §128.7(d).) In addition to these sanctions, “[i]f warranted, the court may award to the party prevailing on the motion the reasonable expenses and attorney's fees incurred in presenting or opposing the motion.” (C.C.P. §128.7(c)(1).)

Under C.C.P. § 128.5(a), “[a] trial court may order a party, the party’s attorney, or both, to pay reasonable expenses, including attorney’s fees, incurred by another party as a result of actions or tactics, made in bad faith, that are frivolous or solely intended to cause unnecessary delay.” An action or tactic is brought in bad faith, if it is done for improper purposes, like harassment or delay. (*Bach v. McNelis* (1989) 207 Cal.App.3d 852, 876.) The term frivolous in § 128.5 is defined as “totally and completely without merit or for the sole purpose of harassing an opposing party.” (C.C.P. § 128.5(b)(2).) The moving party has the burden to establish that the opposing party’s conduct was frivolous, made in bad faith, or done solely to cause unnecessary delay. (*Id.*) Sanctions under C.C.P. § 128.5 are discretionary, and the court is not required to issue any sanctions, monetary or otherwise. (C.C.P. §§ 128.5(a), 128.7(a); *Kojababian v. Genuine Home Loans, Inc.* (2009) 174 Cal.App.4th 408, 421.)

“[T]he sanctions statute must not be construed so as to conflict with the primary duty of an attorney to represent his or her client zealously. Forceful representation often requires that an attorney attempt to read a case or an agreement in an innovative though sensible way. Our law is constantly evolving, and effective representation sometimes compels attorneys to take the lead in that evolution. (*Peake, supra*, 227 Cal.App.4th at 441 [internal quotations omitted].) Furthermore, these statutes “should be utilized only in the rare and exceptional case where the action is clearly frivolous, legally unreasonable or without legal foundation, or brought for an improper purpose. ... Because our adversary system requires that attorneys and litigants be provided substantial breathing room to develop and assert factual and legal arguments, [section 128.7] sanctions should not be routinely or easily awarded even for a claim that is arguably frivolous ..., and instead should be made with restraint. ... Indeed, even if a plaintiff could not successfully defend against either demurrer or summary judgment, that alone is insufficient to support the sanction of dismissal.” (*Kumar v. Ramsey* (2021) 71 Cal.App.5th 1110, 1121 [internal citations and quotations omitted] [emphasis added]; see also, *Peake, supra*, 227 Cal.App.4th at 448 [“Our conclusion that the court properly

found Peake's statutory and common law claims were without merit, and there was no arguable factual or legal basis for asserting those claims, does not necessarily answer the question whether sanctions were appropriate under the circumstances of the case."].)

Here, Defendant presents no evidence that the *ex parte* was objectively frivolous or made in bad faith. Therefore, it has not established it is entitled to sanctions under C.C.P. §§ 128.5 and/or 128.7. For the reasons stated above, the Court denies the motion on its merits.